

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 31ST MARCH 2026

I STATEMENT OF FINANCIAL POSITION	Bank		Bank		Group	
	31st Mar 2025	31st Dec 2025	31st Mar 2026	31st Mar 2025	31st Dec 2025	31st Mar 2026
	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)
A. ASSETS						
1 Cash balances (both local and foreign)	385,825	485,215	466,578	385,825	485,215	466,578
2 Balances due from Central Bank of Kenya	2,509,181	1,523,373	1,996,774	2,509,181	1,523,373	1,996,774
3 Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-
4 Financial Assets at fair value through profit and loss	-	-	-	-	-	-
5 Investment Securities:						
a) Held to Maturity:						
a. Kenya Government securities	3,054,316	3,682,520	3,645,919	3,054,316	3,682,520	3,645,919
b. Other securities	3,054,316	3,682,520	3,645,919	3,054,316	3,682,520	3,645,919
b) Available for sale:						
a. Kenya Government securities	17,355,960	24,584,782	30,011,740	17,355,960	24,584,782	30,011,740
b. Other securities	17,355,960	24,584,782	30,011,740	17,355,960	24,584,782	30,011,740
6 Deposits and balances due from local banking institutions	193,218	58,054	1,203,794	193,218	58,054	1,203,794
7 Deposits and balances due from banking institutions abroad	390,060	222,685	510,804	390,060	222,685	510,804
8 Tax recoverable	215,964	214,599	125,688	358,122	365,293	269,061
9 Loans and advances to customers (net)	39,787,117	41,901,454	42,542,658	38,874,411	41,107,862	41,751,703
10 Balances due from banking institutions in the group	-	-	-	-	-	-
11 Investments in associates	-	-	-	-	-	-
12 Investments in subsidiary companies	-	-	-	-	-	-
13 Investment in Joint ventures	190,970	190,865	190,865	1,712,330	1,828,458	1,846,164
14 Investment properties	810,000	810,000	810,000	1,905,000	1,905,000	1,905,000
15 Property and equipment	833,922	1,074,925	1,163,503	876,149	1,149,052	1,240,081
16 Prepaid operating lease rentals	-	-	-	-	-	-
17 Intangible assets	306,345	486,398	482,222	314,340	494,017	492,643
18 Deferred tax asset	1,315,887	945,565	782,083	1,547,088	1,229,813	1,069,288
19 Retirement benefit asset	-	-	-	-	-	-
20 Other assets	3,402,301	3,317,846	3,519,442	3,927,582	3,763,265	4,115,893
21 TOTAL ASSETS	70,751,066	79,498,280	87,452,069	73,403,582	82,399,388	90,525,443
B. LIABILITIES						
22 Balances due to Central Bank of Kenya	-	-	-	-	-	-
23 Customer deposits	50,266,739	56,149,478	65,800,303	50,112,001	55,874,372	65,479,681
24 Deposits and balances due to local banking institutions	919,529	1,022,568	-	919,529	1,022,568	-
25 Deposits and balances due to foreign banking institutions	-	-	-	-	-	-
26 Other money market deposits	-	-	-	-	-	-
27 Borrowed funds	2,627,274	3,601,847	2,194,193	2,627,274	3,601,847	2,194,193
28 Balances due to banking institutions in the group	-	-	-	-	-	-
29 Tax payable	-	-	-	-	-	-
30 Dividends payable	-	-	-	246	246	246
31 Deferred tax liability	-	-	-	903	-	903
32 Retirement benefit liability	-	-	-	-	-	-
33 Other liabilities	1,693,262	2,276,417	2,326,064	3,577,041	4,226,022	4,369,194
34 TOTAL LIABILITIES	55,506,806	63,050,310	70,320,560	57,236,994	64,725,055	72,044,218
C. SHAREHOLDERS' FUNDS						
35 Paid up /Assigned capital	10,820,000	10,820,000	10,820,000	9,427,440	9,427,440	9,427,440
36 Share premium/(discount)	3,513,662	3,513,662	3,513,662	2,649,338	2,649,338	2,649,338
37 Revaluation reserves	610,666	610,666	610,667	1,312,129	1,312,129	1,312,129
38 Retained earnings/Accumulated losses	(4,910,781)	(3,935,839)	(3,643,332)	(2,452,041)	(1,173,061)	(757,200)
39 Statutory loan loss reserves	4,846,140	4,640,537	4,703,359	4,846,140	4,640,537	4,703,359
40 Other Reserves	364,573	798,944	1,127,153	383,582	817,950	1,146,159
41 Proposed dividends	-	-	-	-	-	-
42 Capital grants	-	-	-	-	-	-
43 TOTAL SHAREHOLDERS' FUNDS	15,244,260	16,447,970	17,131,509	16,166,588	17,674,333	18,481,225
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	70,751,066	79,498,280	87,452,069	73,403,582	82,399,388	90,525,443

II STATEMENT OF COMPREHENSIVE INCOME	31st Mar 2025	31st Dec 2025	31st Mar 2026	31st Mar 2025	31st Dec 2025	31st Mar 2026
	UnAudited	Audited	UnAudited	UnAudited	Audited	UnAudited
	(Ksh'000))	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1 INTEREST INCOME						
1.1 Loans and advances	1,230,819	4,791,450	1,167,650	1,187,528	4,629,291	1,135,418
1.2 Government securities	595,966	2,826,672	886,405	595,966	2,826,672	886,404
1.3 Deposits and placements with banking institutions	11,108	58,361	29,091	11,108	58,361	29,090
1.4 Other Interest Income	-	-	-	-	-	-
1.5 Total interest income	1,837,893	7,676,483	2,083,146	1,794,602	7,514,324	2,050,912
2 INTEREST EXPENSES						
2.1 Customer deposits	701,093	2,761,113	722,100	699,033	2,750,332	718,886
2.2 Deposits and placement from banking institutions	31,221	70,306	6,039	31,221	70,306	6,039
2.3 Other interest expenses	74,546	330,632	60,220	74,598	330,632	60,220
2.4 Total interest expenses	806,860	3,162,051	788,359	804,852	3,151,269	785,145
3 NET INTEREST INCOME/(LOSS)	1,031,033	4,514,432	1,294,785	989,750	4,363,055	1,265,767
4 OTHER OPERATING INCOME						
4.1 Fees and commissions on loans and advances	51,379	249,973	57,628	51,379	249,973	57,628
4.2 Other fees and commissions	66,933	294,580	90,740	94,275	294,580	90,740
4.3 Foreign exchange trading income/(Loss)	34,521	106,890	25,631	34,521	106,890	25,631
4.4 Dividend Income	-	-	-	-	-	-
4.5 Other income	46,071	218,303	84,285	244,779	1,155,301	395,147
4.6 Total Non-interest income	198,904	869,746	258,284	424,954	1,806,743	569,146
5 TOTAL OPERATING INCOME	1,229,937	5,384,178	1,553,069	1,414,704	6,169,798	1,834,913
6 OPERATING EXPENSES						
6.1 Loan loss provision	100,430	408,283	112,920	100,430	408,283	112,920
6.2 Staff costs	449,877	1,984,180	544,463	511,220	2,311,374	659,061
6.3 Directors' emoluments	7,800	14,558	7,728	11,514	31,759	13,832
6.4 Rental charges	13,882	59,018	13,427	13,882	59,018	13,427
6.5 Depreciation charge on property and equipment	36,989	144,776	40,355	38,951	153,000	42,600
6.6 Amortisation charges	15,109	66,901	17,017	15,147	67,150	17,112
6.7 Other operating expenses	360,059	1,498,283	342,092	387,044	1,655,160	368,523
6.8 Total Other Operating Expenses	984,146	4,175,998	1,078,002	1,078,188	4,685,743	1,227,475
7 Profit/(loss) before tax and exceptional items	245,791	1,208,180	475,067	336,516	1,484,054	607,438
8 Exceptional items	-	(106)	-	-	125,431	-
9 Profit/(loss) after exceptional items	245,791	1,208,074	475,067	336,516	1,609,485	607,438
10 Current tax	(3,514)	(12,296)	(96,916)	(8,581)	(38,544)	(109,123)
11 Deferred tax	-	(184,162)	(22,822)	-	(148,650)	(22,822)
12 Profit/(loss) after tax and exceptional items	242,277	1,011,616	355,329	327,935	1,422,292	475,494
13 Other Comprehensive Income						
13.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-
13.2 Fair value changes in available for sale financial assets	296,429	916,959	468,870	296,429	916,959	468,870
13.3 Revaluation surplus on Property,plant and equipment	-	-	-	-	-	-
13.4 Share of other comprehensive income of associates	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	(88,929)	(275,088)	(140,661)	(88,929)	(275,088)	(140,661)
14 Other Comprehensive Income for the year net of tax	207,500	641,872	328,209	207,500	641,872	328,209
15 Total comprehensive income for the year	449,777	1,653,488	683,538	535,435	2,064,163	803,703
Earnings Per Share	22.39	93.50	32.84	0.14	0.75	0.25

III OTHER DISCLOSURES	31st Mar 2025	31st Dec 2025	31st Mar 2026	31st Mar 2025	31st Dec 2025	31st Mar 2026
	UnAudited	Audited	UnAudited	UnAudited	Audited	UnAudited
	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1 Non-Performing Loans and Advances						
a) Gross non-performing loans and advances	11,960,905	11,063,077	10,955,876	11,960,905	11,063,077	10,955,876
b) Less: Interest in Suspense	3,341,075	3,006,068	3,072,786	3,341,075	3,006,068	3,072,786
c) Total non-Performing loans and advances (a-b)	8,619,830	8,057,009	7,883,090	8,619,830	8,057,009	7,883,090
d) Less: Loan loss provisions	5,283,010	5,647,480	5,761,390	5,283,010	5,647,480	5,761,390
e) Net non-performing loans and advances(c-d)	3,336,820	2,409,530	2,121,700	3,336,820	2,409,530	2,121,700
f) Discounted value of securities	3,336,820	2,409,530	2,121,700	3,336,820	2,409,530	2,121,700
g) Net Exposure(e-f)	-	-	-	-	-	-
2 Insider loans and advances						
a) Directors, shareholders and associates	1,005,390	820,449	1,463,268	1,005,390	820,449	1,463,268
b) Employees	1,443,101	1,420,935	1,431,730	1,443,101	1,420,935	1,431,730
c) Total insider Loans and Advances	2,448,491	2,241,384	2,894,998	2,448,491	2,241,384	2,894,998
3 Off-Balance Sheet items						
a) Letters of credit, guarantees and acceptances	1,125,191	4,320,299	4,598,172	1,125,191	4,320,299	4,598,172
b) Forwards, swaps and options	1,268,021	1,009,825	1,472,475	1,268,021	1,009,825	1,472,475
c) Other contingent liabilities	-	-	-	-	-	-
d) Total contingent liabilities	2,393,212	5,330,124	6,070,647	2,393,212	5,330,124	6,070,647
4 Capital Strength						
a) Core capital	8,827,102	10,148,987	10,298,136			
b) Minimum Statutory Capital	1,000,000	3,000,000	3,000,000			
c) Excess/Deficiency	7,827,102	7,148,987	7,298,136			
d) Supplementary capital	1,239,392	1,153,527	752,596			
e) Total capital (a+d)	10,066,494	11,302,514	11,050,732			
f) Total risk weighted assets	41,358,010	46,488,796	47,747,652			
g) Core capital /Total deposit liabilities	17.6%	18.1%	15.7%			
h) Minimum Statutory Ratio	8.0%	8.0%	8.0%			
i) Excess/Deficiency	9.6%	10.1%	7.7%			
j) Core capital /Total risk weighted assets	21.3%	21.8%	21.6%			
k) Minimum Statutory Ratio	10.5%	10.5%	10.5%			
l) Excess/Deficiency (j-k)	10.8%	11.3%	11.1%			
m) Total capital /Total risk weighted assets	24.3%	24.3%	23.1%			
n) Minimum Statutory Ratio	14.5%	14.5%	14.5%			
o) Excess/Deficiency (m-n)	9.8%	9.8%	8.6%			
5 Liquidity						
a) Liquidity Ratio	45.1%	51.5%	56.6%			
b) Minimum Statutory Ratio	20.0%	20.0%	20.0%			
c) Excess/Deficiency (a-b)	25.1%	31.5%	36.6%			

***Notes**
These financial statements are extracts from the books of the institution. The complete set of UnAudited Financial Statement can be accessed on the institutions website www.hfc.co.ke
They may also be accessed at the institutions head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi.

Peter Mugeni
Managing Director - HFCB Ltd

Robert Kibaara
Group Chief Executive Officer

Dr. Anne Kimari
Director

David,
Kamonski,
Baba Girls,
AKA Nameless.

GREAT HAS A NEW NAME

HFCB,
Housing Finance,
HFC,
HF Group

IS NOW

HFCB

Banking Insurance Property

hfc.co.ke

Licensed by the Central Bank of Kenya & Insurance Regulatory Authority